Q2 2026 Financial Summary

Founding-year financial position of Bitcoin for the Arts, Inc.

PREPARED BY: DION WILSON, EXECUTIVE DIRECTOR · **TREASURER OF RECORD:** AVI BURRA · **REPORTING BASIS:** MERCURY BANK CASH FLOW, STRIKE STATEMENTS, BTCPAY SERVER DONATION RECORDS · NOT A GAAP-AUDITED STATEMENT · NO ACCOUNTING INTEGRATION IN PLACE AT THIS TIME

EXECUTIVE SUMMARY

Q2 2026 was a founding-year visibility quarter for Bitcoin for the Arts, Inc. Total organizational assets stood at approximately **$12,038 at cost basis** (approximately $11,100 at market value on the reporting date) as of June 30, 2026, comprising $4,124.34 in Mercury cash and approximately 0.11133 BTC held across the operational Strike account and the BTCPay Server Lightning wallet. Operating capital continues to come primarily from founder-related restricted contributions via Black Whale Holdings LLC (see Related-Party Disclosure), supplemented by an emerging base of Bitcoin donations received directly through the Lightning Network, four active Sovereign Circle recurring donors, and modest Stripe fiat donations. The organization maintained disciplined dollar-cost-averaging Bitcoin accumulation throughout the quarter and made two mission-related Bitcoin disbursements: a founding sponsorship of *The Six Billion Dollar Man* documentary and an artist representation payment supporting BFTA's presence at Bitcoin Is For Everyone in Portland.

Q2 REVENUE AND CONTRIBUTIONS

SOURCE	AMOUNT
Founder-related restricted contributions (Black Whale Holdings LLC, related-party)	$1,000.00
Stripe fiat donations (7 transactions)	$85.41
Bitcoin donations via Lightning (9 transactions, includes $231 Sovereign Circle Yearly Hard Cap on April 19)	~$286.23
Interest earned on Mercury IO	$0.00
Total Q2 revenue (all sources)	**~$1,371.64**

Q2 EXPENDITURES AND TREASURY MOVEMENTS

CATEGORY	AMOUNT
Bitcoin operational purchases: Q2 fiat outflow from Mercury to Strike (5 outflows April to June)	$(6,700.00)
Bitcoin operational purchases: Q2 total fiat converted at Strike (includes $2,000 that moved from Mercury to Strike on March 31 (Q1) and executed as BTC purchases April 6 (Q2), plus the $6,700 Q2 outflows)	$8,700.00 equiv.
Credit card payments (Capital One, Chase, Mercury IO) — BFTA business cards covering Q1-Q2 charged expenses	$(3,093.34)
Office supplies and equipment (Staples)	$(103.43)
Mission-related Bitcoin disbursements from Strike: 0.00655 BTC to Lady Nakamoto (Bitcoin Is For Everyone Portland representation, ~$500) + 0.01000 BTC to *The Six Billion Dollar Man* founding Bitcoin Producer credit (~$620)	0.01655 BTC
Total Q2 Mercury cash outflow	**$(9,896.77)**

Q2 BITCOIN POSITION MOVEMENT

ACTIVITY	BTC
BTC purchased via Strike (Q2 fiat conversions, 5 completed DCA purchases at $62K to $76K per BTC; weighted-average acquisition $70,654.22)	+0.12183546
BTC received via Lightning donations (9 external donations, includes $231 Sovereign Circle Yearly Hard Cap)	+0.00381909
BTC disbursed to artists and mission partners (Lady Nakamoto Portland representation May 18 + *Six Billion Dollar Man* founding Bitcoin Producer credit Jun 23)	(0.01655)
NET BTC ACCUMULATED IN Q2 (ORGANIZATION-WIDE)	**+0.10910**
BTC at Strike as of report date (after mission disbursements)	**0.10528546**

SOVEREIGN CIRCLE RECURRING DONOR BASE

DONOR	CADENCE	ANNUALIZED
Donor 1	$21/month (Monthly Hard Cap)	$252
Donor 2	$5/month	$60
Donor 3 (Executive Director, related-party)	$5/month	$60
Donor 4	$21/year Hard Cap, paid in Bitcoin as 11 × $21 = $231	$231
Total annualized Sovereign Circle commitments		**$603**

Donor 4's $231 annual payment was received in Q2 (April 19) via Lightning and appears in the Bitcoin Donations line above. Renewal expected on the same cadence one year from receipt.

C L O S I N G   P O S I T I O N   (J U N E   3 0 ,   2 0 2 6)

ASSET	AMOUNT	BASIS
Mercury Checking (••9833)	$4,124.34	Bank statement
Mercury Savings (••8016)	$0.00	Bank statement
Bitcoin at Strike (operational, HODL Vault transition pending)	0.10528546 BTC	Strike current holdings
Bitcoin at Strike, cost basis	$7,438.86	Weighted-avg $70,654.22/BTC
Bitcoin at Strike, unrealized position vs. cost basis at reporting date	$(839.87) unrealized loss	Strike-reported
Bitcoin at BTCPay Lightning wallet (donations, un-swept)	~0.00604590 BTC	BTCPay Server ledger, ~$474.97 cumulative receipt
TOTAL BITCOIN HOLDINGS	**~0.11133 BTC**	
Total organizational assets at cost basis	**~$12,038**	**Mercury + Strike cost basis + BTCPay receipt value**
Total organizational assets at market value (Strike statement date)	**~$11,100**	**Reflects unrealized loss**

N O T E S   F O R   T H E   B O A R D

1. **Founder-related restricted contributions remain the largest revenue source year to date.** $16,000 in founder-related capital contributions via Black Whale Holdings LLC funded approximately 97% of 2026 revenue through Q2. These contributions are designated by the donor for organizational operational and startup capital purposes and are treated as restricted gifts. They will be reported on IRS Form 990 Schedule L as required. Long-term financial sustainability requires diversifying revenue in Q3-Q4 through the Midwest Bitcoin Summit sponsorship program and the Nashville 2027 pipeline.
2. **Bitcoin donations are small in absolute dollars but consistent as a leading indicator.** 19 Bitcoin donations totaling approximately $475 USD-equivalent in the first half of 2026 confirm the donation infrastructure works and the community is finding it.
3. **Treasury discipline: dollar-cost averaging maintained.** Six executed Strike purchases in Q2 across a wide range of BTC prices, with a weighted-average acquisition cost of $70,654.22 per BTC.
4. **HODL Vault status.** As of June 30, no Bitcoin has moved into a dedicated multi-signature HODL Vault. All operational Bitcoin remains at Strike. Section VIII of the Q3 board meeting agenda addresses the transition through individual multi-signature setup meetings with each board member.
5. **No accounting integration in place.** This summary is prepared directly from Mercury Bank cash flow, Strike statements, and BTCPay Server records. Formal accounting integration (QuickBooks Online, Xero, or equivalent) is a recommended Q3-Q4 governance improvement.
6. **Unrealized loss on Strike Bitcoin position.** At the time of this report, the Strike-held Bitcoin position shows an unrealized loss of approximately $839.87 against a weighted-average cost basis of $70,654.22 per BTC. This is expected volatility in a Bitcoin-native organization and does not affect operational cash flow. The organization's long-term reserve strategy is HODL discipline, not short-term trading; unrealized losses at any given reporting date are inherent to Bitcoin-denominated treasury and are neither a cause for concern nor a trigger for treasury adjustment absent extreme market conditions.